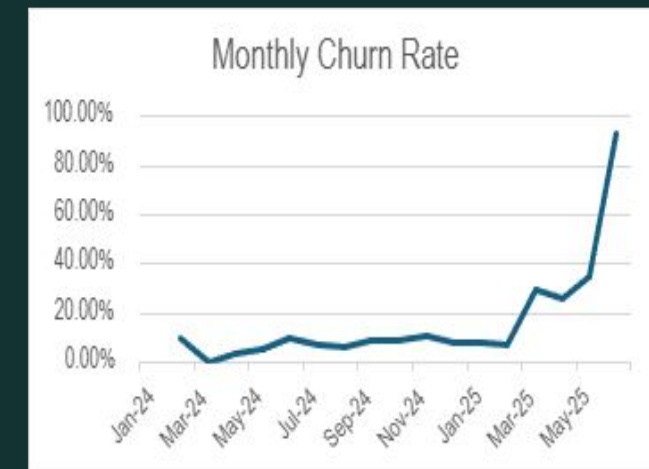


SaaS Subscription Revenue Analytics & Forecasting Model



The Importance of SaaS Financial Modeling and Analysis

The subscription industry is rapidly growing and expanding. Without structured financial models, companies risk improperly allocating resources or overestimating growth. We chose this topic because it allowed us to apply the technical Excel skills we've encountered throughout this course towards a business scenario, creating a connection between academic concepts and practical application.

Professional fields where this problem can be encountered include...

Financial Analysis & FP&A	Product Management
Forecasting revenue	Analyzing user behavior to ensure retention

What We Set Out to Accomplish

- Some of the skills we developed from our course to complete this include the usage of drop-down menus, forecasting tools, Excel functions/formulas, and inclusion of CSV data files in financial modeling as well as dashboard design, data cleaning and more.

Analyze Performance

Record and examine historical subscription trends and consumer behavior

Measure KPIs

Calculate the financial metrics that define SaaS health and growth

Enable Decisions

Create an interactive and dynamic financial planning and forecasting tool

Forecast Revenue

Project future revenues across various financial scenarios, creating a dynamic scenario model built in Excel to allow managers to adjust core assumptions and instantly see the projected impact on future MRR.

Project Reflections & Outcome

Our project successfully delivered on its core objectives, culminating in a robust SaaS subscription revenue analytics and forecasting model that integrates complex data into actionable insights.

Outcomes...



Retention Is Revenue

Even a 1-2% monthly churn reduction compounded over 12 months creates a material lift in ARR — acquisition alone cannot compensate for leaky retention.



Enterprise Plans Dominate

Higher-tier plans contribute a disproportionately large share of total MRR, making enterprise expansion and upsell critical levers for revenue growth.

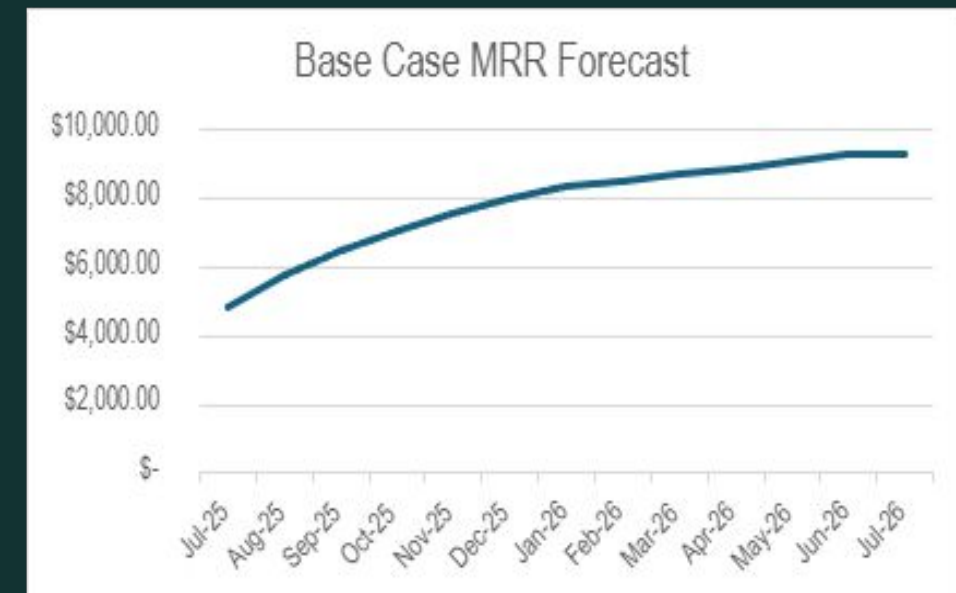


The Winning Formula

The scenarios confirm it: lower CAC combined with lower churn consistently produces the strongest LTV/CAC ratios and the healthiest long-run returns.

What Went Right

- Seamless data integration and structuring from multiple sources.
- Achieved dynamic scenario modeling with immediate visual updates.
- The KPI dashboard provides clear, executive-level visibility.



Conclusion & Looking Ahead

The core insight: **data beats intuition** – and retention beats acquisition every time.

Reflecting on our journey, we've identified areas for growth and a clear path for future development of the model.

WHAT WE'D DO DIFFERENTLY

Earlier Stakeholder Feedback

Integrate feedback from potential users earlier to ensure maximal utility and alignment with business needs.

Delve Deeper into Churn

- Churn is usually the most valuable insight area in SaaS—and often underdeveloped.
- Identified when churn spikes (e.g., month 2 vs month 6)
- Segmented churn by plan or acquisition source

NEXT STEPS & FUTURE DEVELOPMENT

Expand Scenario Variables

Incorporate more dynamic variables like marketing spend and product expansion for richer scenario analysis.

Real-Time Production

Automate data ingestion (ETL pipelines)

Build a live dashboard (e.g., in Tableau, Power BI, or a web app)

Add alerts (e.g., churn spike detection)

Shift from Descriptive to Diagnostic Analytics

Identify *drivers* of churn and expansion (price, tenure, plan changes)

Run correlation or regression models to isolate which variables actually matter

This project demonstrates how finance professionals can use real data to drive smarter, faster decisions in a SaaS context.